

dollar-cost indexer. And I bet most of you assumed buying only at the all-time highs (World's Worst Market Timer) would create losses.

As it turns out, that is not what occurs.

The reason? In a word: Compounding. It's what happens when gains accumulate on top of gains. It is an urban legend that Albert Einstein ever said, "Compound interest is the most powerful force in the universe,"²²⁷ but it remains true regardless of authorship.

For proof of the power of compounding, consider your mortgage. A 30-year, fixed-rate \$500,000 mortgage at 5% gets paid down over time. Despite the fact that your total debt is less each year, it still costs you nearly double the amount you borrowed (\$966,279.60) over those three decades. Now consider the average 8% market returns over 30 years—that adds up to over \$5 million! (That's assuming a one-time investment and no additional contributions or dollar-cost averaging.) That is the power of compounding returns.

The world's best timer misses out on those advantages (as does the world's best trader). Buying only at the lows means that there are going to be long stretches when either is not making buys. Consider the post-GFC era: Buys were made in March 2009, followed by subsequent purchases in July 2010 and October 2011, but not again for years.

And then, just as we saw for the World's Greatest Stock Trader®, the World's Greatest Market Timer® will also be affected by taxes.



How can the pros do this? Mutual firms and hedge funds have a huge advantage that you, the individual investor, do not. They are a business. As such, they pay taxes on their total net gains. Losing trades offset winning trades dollar for dollar each year.

And, they *get paid* to engage in active stock selection and/or market timing. They can get away with active trading because for better or worse (and its usually worse), it's their jobs.